Concord Biotech Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Ahmedabad maker of fermentation-based drug ingredients, mainly immunosuppressants used after organ transplants (it is a world leader in several), plus anti-infectives, anti-fungals and cancer drugs. It sells APIs to global generic makers and finished formulations in India and emerging markets, and is building an injectables business.

Number	Value	What it means
Market cap	Rs 12,494 cr	What the market values the whole company at.
Q2 FY27 revenue	About Rs 309 cr	Sales for the quarter, up 25% on a weak year-ago quarter.
FY26 revenue	Down 12%	A bad year: tariff worries, a delayed Middle East tender and slow Indian regulator paperwork.
Q2 FY27 EBITDA margin	33.8%	Operating profit per Rs 100 of sales. About 38% excluding the new injectable plant's costs; it used to run near 40%.
ROCE	About 17%	Return on the money tied up; down from earlier years.
Stock P/E	42x	A premium price for a niche, high-margin API maker.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY25	Nov 2024	Yes (key passages)
Q3 FY25	Feb 2025	Yes (key passages)
Q4 FY25	30 May 2025	Yes (key passages)
Q1 FY26	11 Aug 2025	Yes (key passages)
Q2 FY26	14 Nov 2025	Yes (key passages)
Q3 FY26	12 Feb 2026	Yes (key passages)
Q4 FY26	1 Jun 2026	Yes (key passages)
Q1 FY27	3 Aug 2026	Yes (key passages)
Q2 FY27	28 Oct 2026	Yes, read in full ★

Nine calls across two years, from NSE filings.

Latest concall highlights: Q2 FY27 (call held 28 Oct 2026)

- Revenue up 25% (H1 up 26%), broad-based: immunosuppressants grew at high double digits. API up 30%, formulations only up 6% as some customers now buy the API instead.
- Gross margin down about four points on costlier solvents and power; EBITDA margin 33.8%. Management expects to recover it over the full year.
- Injectables: talks with several large domestic and global customers, contracts expected 'in the near term'. The plant has been ready since 2025 and still drags margins.
- New US approvals for Tofacitinib and Mycophenolate oral suspension; a US filing for Fidaxomicin; US FDA inspection of the Valthera formulation plant done.
- 1:1 bonus issue approved. Exploring fermentation CDMO work and a skin-care brand through Stellon.

Business mix & capacity

Domestic vs export: Q2 FY27: domestic up 42%, exports up 8%, but many 'domestic' sales go to Indian arms of global buyers and get exported.

Capacity use: No overall figure. The new injectable plant is underused while contracts are pending.

3. Earning Trigger thesis

Concord is bouncing back from a bad FY26 on its core strength, fermentation APIs where few rivals exist. That rebound is real but mostly a recovery. The new trigger, injectables, still has no signed contracts a year after it opened, and margins sit well below where they used to be.

Trigger	What management said	Evidence so far	Time horizon	Strength
Core API recovery	Deferred revenue comes back in H2 FY26	FY26 fell 12%; FY27 H1 up 26%	FY27	Moderate: recovery off a low base
Injectables	Ramp up and lift margins in coming quarters (Nov 2025)	Still no big contracts; still a margin drag	Unknown	Weak
US formulations	New ANDA approvals	Two approvals and a US FDA inspection this half	FY27-FY28	Unproven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	
New business	Yes	Injectables and US formulations: new ANDA approvals; injectable contracts expected soon (28 Oct 2026)
Margin up	No	Gross margin down about four points
New management	No	
New capacity	No	
Big orders	No	
Turnaround	Yes	Strong start to FY27 with 26% growth after a challenging FY26 (3 Aug 2026)
Promoter buying	No	

The single concrete driver: Recovery in the core fermentation API business, with injectable contracts the hoped-for next leg.

3c. Margin bridge

EBITDA margin is 33.8%, about the same as a year ago but well below the near-40% it used to earn. Solvent and power costs rose and the new injectable plant carries costs without sales. Management expects to recover it as sales grow. (one-off)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Jun 2025	Injectable plant drives growth	Commissioned; no large contracts yet	Missed
Nov 2025	Deferred revenue comes back in H2 FY26	Q4 FY26 revenue fell 24%	Missed
Nov 2025	Injectables lift margins in coming quarters	Still a drag a year later	Missed
Feb 2026	Entering Q4 with stronger momentum	Q4 FY26 was the weakest quarter	Missed
Aug 2026	Strong FY27 growth	H1 up 26%	Delivered

Narrative drift: The core story, fermentation-based niche APIs, has been steady. But through FY26 every call promised recovery next quarter and it kept not coming. The injectables timeline keeps saying 'near term'. FY27 has finally delivered on the core.

5. Bottom line

Durable earning trigger? → MAYBE

The rebound is real, but it's mostly a recovery. Injectables and US formulations are still unproven.

Management consistent? → MAYBE

Repeated over-optimism through FY26 and a slipping injectables timeline, offset by a solid FY27 so far.

6. Checkpoints for next quarter

- First large injectable contract is signed
- EBITDA margin recovers toward the high thirties
- Revenue keeps growing at the first-half pace

This is not investment advice. Do your own due diligence.